DOLLAR GENERAL

# *Business Growth Opportunities*

**Date: September 14, 2004**

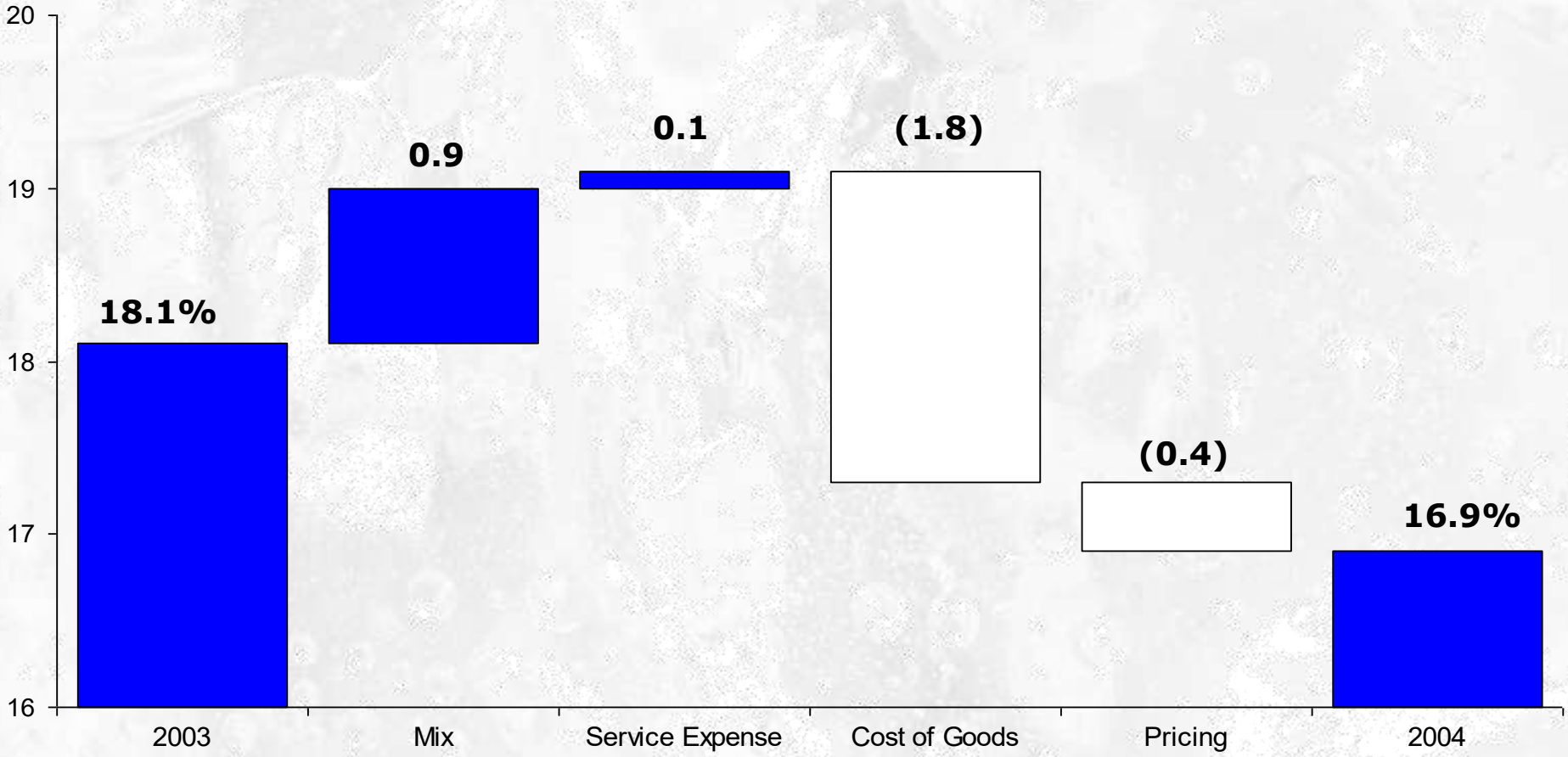
# Agenda

- Overview
- Production & Supply Chain
- Costs & Inventories
- Trends & Item Solutions
- 2005 Plan Discussion
- Long Term Strategic Partnership

# *H1 gross margin contracted vs. 2003 primarily due to higher operations costs and pricing*

**Paul**

(change measured in ppt)



# Costs and Inventories

Jeff's piece here

Jeff – to be updated

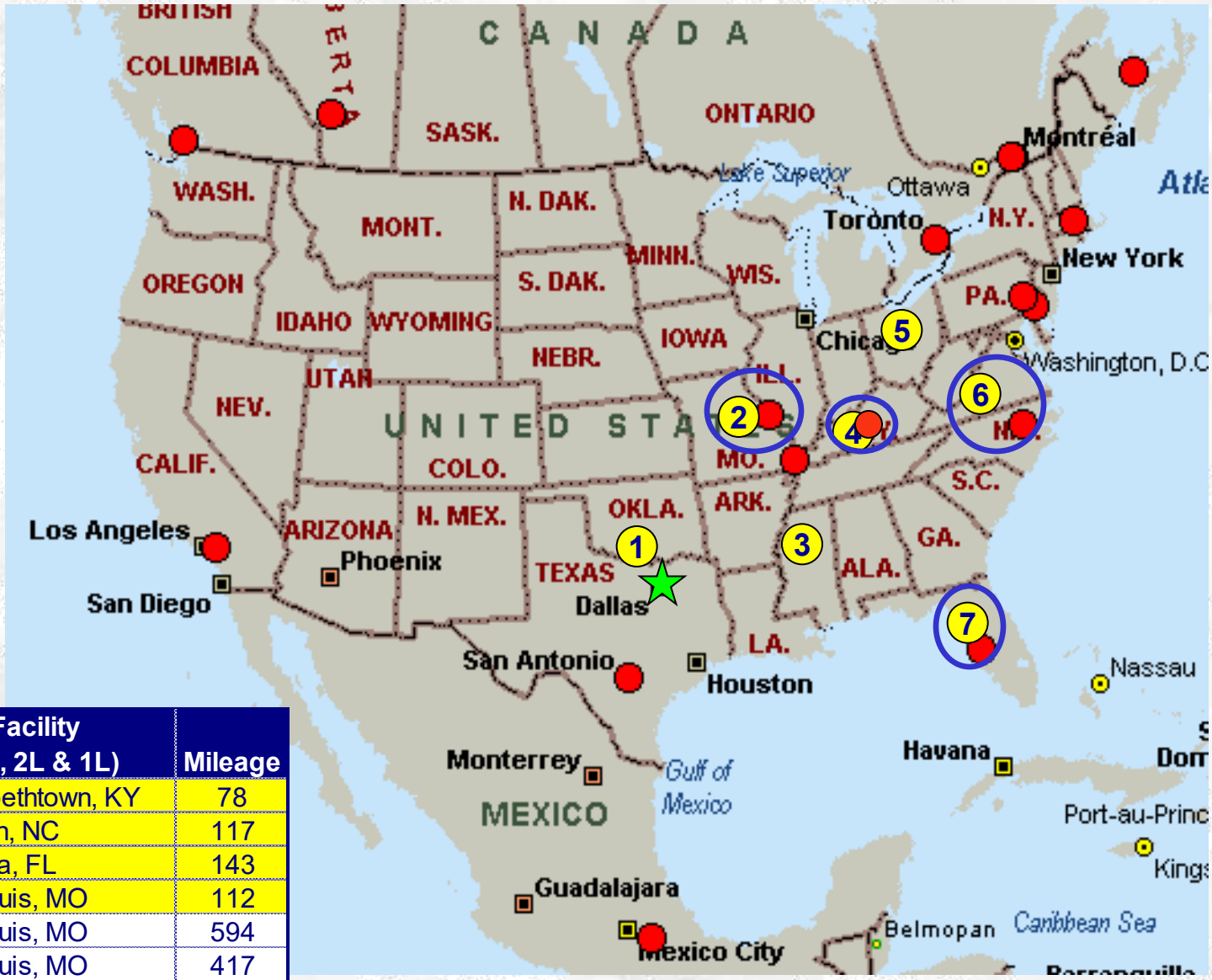
# Dollar General DCs &

New Cott 45-million case facility (to be built)

Cott Facilities

Dollar General DCs

1. Ardmore, Oklahoma
2. Fulton, Missouri
3. Indianola, Mississippi
4. Scottsville, Kentucky
5. Zanesville, Ohio
6. South Boston, Virginia
7. Alachua, Florida




| Dollar General DC's | Cott Facility (cans, 2L & 1L) | Mileage |
|---|---|---|
| Scottsville, KY | Elizabethtown, KY | 78 |
| South Boston, VA | Wilson, NC | 117 |
| Alachua, FL | Tampa, FL | 143 |
| Fulton, MO | St. Louis, MO | 112 |
| Ardmore, OK | St. Louis, MO | 594 |
| Indianola, MS | St. Louis, MO | 417 |
| Zanesville, OH | Wyomissing, PA | 369 |



Doreen

# Targeted Products to Increase the Basket Ring

| DOLLAR GENERAL Goals & Consumer Trends | The Opportunity | Product Solution | Pricing |
|---|---|---|---|
| **Capture the Growing Ethnic Market** | • U.S. census states Hispanic & African American consumers will make up nearly half of U.S. population by year 2050<br>• Many DG stores located in areas with large ethnic populations<br>• Hispanics Grocery Shop More Often & Spend More per Trip<br>• Tampico has attracted a largely Hispanic following |  | $ |
| **Address Consumer Demand for "Better-for-You" Products** | • Increased demand for **health & wellness** beverages:<br>▪Water continues to drive alternative beverage category<br>▪Diet CSDs growing significantly faster than category<br>• Diabetes increased by 27% over last 5 years; higher in Hispanic population |  | $ |
| **Address the "Treasure Hunt" Consumers** | • Offer products that make shopping fun, particularly for kids<br>• The "treasure hunt" experience is often cited as something consumers love about dollar stores<br>• Offer seasonal and/or rotational novelty products that consumers love, in a variety of flavors |  | $ |




# Targeted Products to Increase the Basket Ring

| DOLLAR GENERAL Goals & Consumer Trends | The Opportunity | Product Solution | Pricing |
|---|---|---|---|
| **Offer Products with Wide Demographic Appeal** | 66% of all American HH & 49% of all HH earning annual income greater than $70K shopped at a dollar store in 2003<br>• DG offer: Good Quality + Low Price = Value for All Customers<br>• Offer typically premium-priced products with a value solution<br>• Offer flavored water alternative in high growth water category |  | $ |
| **Capture Consumers in one of the Fastest Growing Beverage Segments** | • Energy drinks represent a $178 MM category and are growing at a rate of 56%*<br>• *Consumer profile*: Income less than $20M; typically Hispanic; 40% repeat purchases; younger consumers<br>• Red Bull has 58% of market share<br>• Diet segment represents approx. 16% of energy drink category and growing faster than regular |  | $ |

*** Source: ACNielsen Latest 52 weeks ending 8/7/04, US Food & Mass**

# 2005 Plan Discussion

- Supply Chain
- Pricing
- Correct Flavor Profile
- Maximize Merchandising Opportunities
  - Shelf Sets / Space
  - Displays
  - Racks
  - Cold
    - Vending
    - CCM

craig

# Customer Service Levels

| Metric | May | June | July |
|---|---|---|---|
| DC In Stock % | 92.74% | 95.05% | 99.85% |
| DC Turns | 40.99 | 45.25 | 36.87 |
| DC Days Supply | 5.43 | 6.30 | 6.50 |
| Receipt | $1,528,922.00 | $2,026,148.00 | $1,094,260.00 |
| Sales | $1,294,764.50 | $1,709,868.00 | $1,443,168.00 |
| Receipt to Sales Ratio | 1.18 | 1.18 | .76 |
| Margin(Ship) | 30.67% | 30.51% | 30.07% |
| Charge Backs | 0 | 0 | 0 |

# NET PRICING

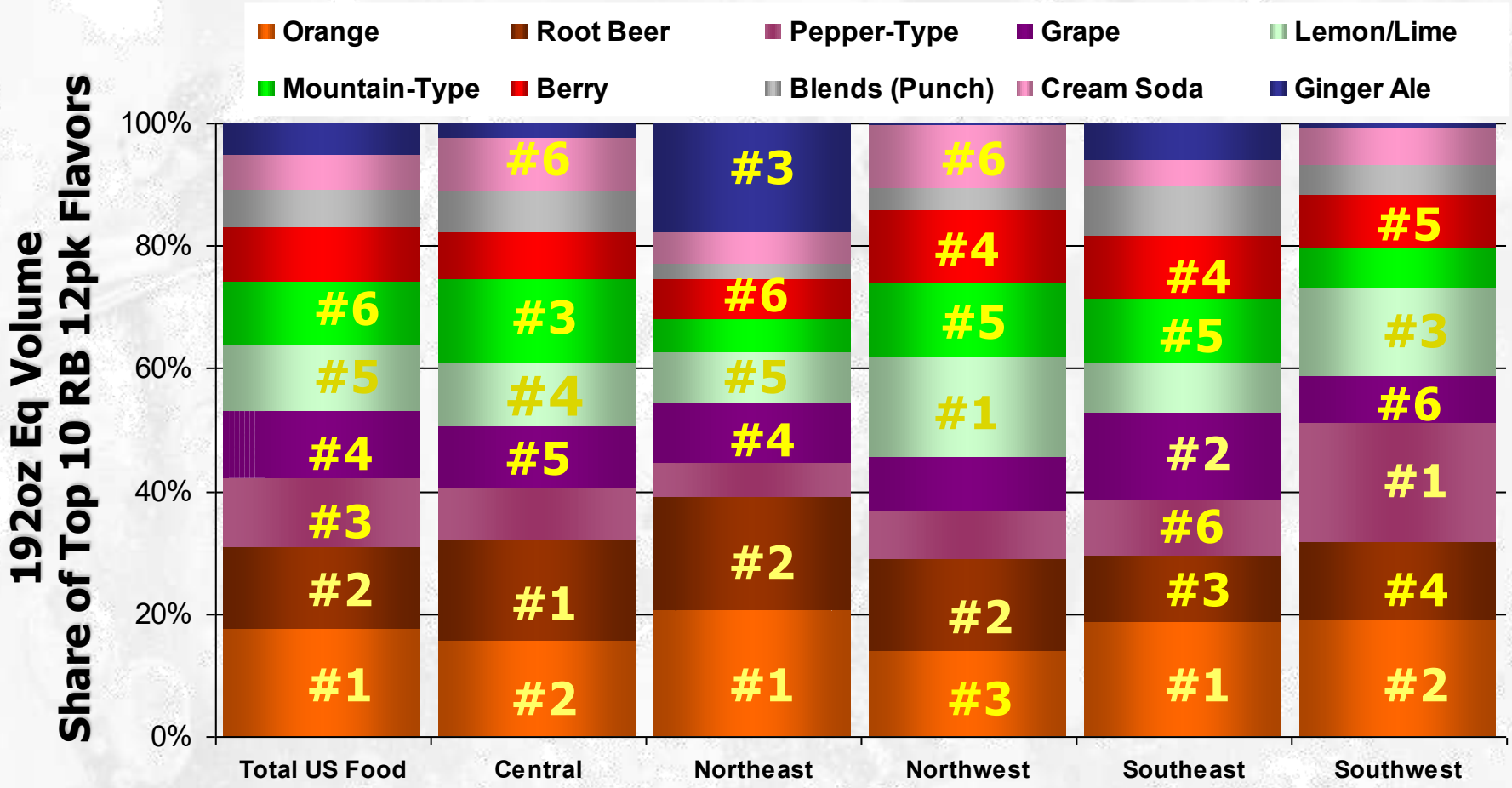
## (in thousands except per unit amounts)

| Package Category | 355ml - 2x12 CSD | 2L - 1x8 CSD | 250ml - 1x24 Chubby | 1l - 1x12 New Age | 8.45oz - 1x24 Tampico | 1l 1x12 Fruit Refresher | 16.9oz - 6x4 Aqua Mist | 8.5oz 1x24 Emerge | Total Account |
|---|---|---|---|---|---|---|---|---|---|
| **Case Volume** | **9,000** | **6,510** | **1,000** | **1,500** | **500** | **500** | **500** | **100** | **19,610** |
| **Units per case** | 2 | 8 | 24 | 12 | 24 | 12 | 4 | 24 | |
| **Retail per unit [a]** | $ 2.00 | $ 0.50 | $ 0.25 | $ 0.50 | $ 0.25 | $ 0.50 | $ 2.00 | $ 0.75 | |
| **Cost per unit [b]** | $ 1.49 | $ 0.39 | $ 0.16 | $ 0.29 | $ 0.20 | $ 0.30 | $ 1.35 | $ 0.46 | |
| **Revenue to Dollar General** | $ 36,000 | $ 26,040 | $ 6,000 | $ 9,000 | $ 3,000 | $ 3,000 | $ 4,000 | $ 1,800 | **$ 88,840** |
| **Gross Margin to Dollar General** | $ 9,180 | $ 5,534 | $ 2,160 | $ 3,780 | $ 600 | $ 1,200 | $ 1,300 | $ 696 | **$ 24,450** |
| **Gross Margin %** | **26%** | **21%** | **36%** | **42%** | **20%** | **40%** | **33%** | **39%** | **28%** |
| **Cott Production Facilities** | St. Louis, MO<br>Wilson, NC<br>Tampa, FL<br>Reading, PA<br>E-town, KY | St. Louis, MO<br>Wilson, NC<br>Tampa, FL<br>Reading, PA<br>E-town, KY | St. Louis, MO<br>Wilson, NC<br>Tampa, FL<br>Reading, PA | St. Louis, MO<br>Wilson, NC<br>Tampa, FL<br>Reading, PA | Wyomissing<br>Elizabethtown | St. Louis, MO<br>Wilson, NC<br>Tampa, FL<br>Reading, PA | St. Louis, MO<br>Wilson, NC<br>Tampa, FL<br>Reading, PA | Illinois | |

[a] **Suggested retail only; Retailer controls retail pricing.**

[b] **Cost per unit is FOB Cott plants with terms of net 20.**
**Cost is based on the following sweetener blends: Regular (HFCS/Sucralose blend) and Diets (Sucralose/ACEK blend)**

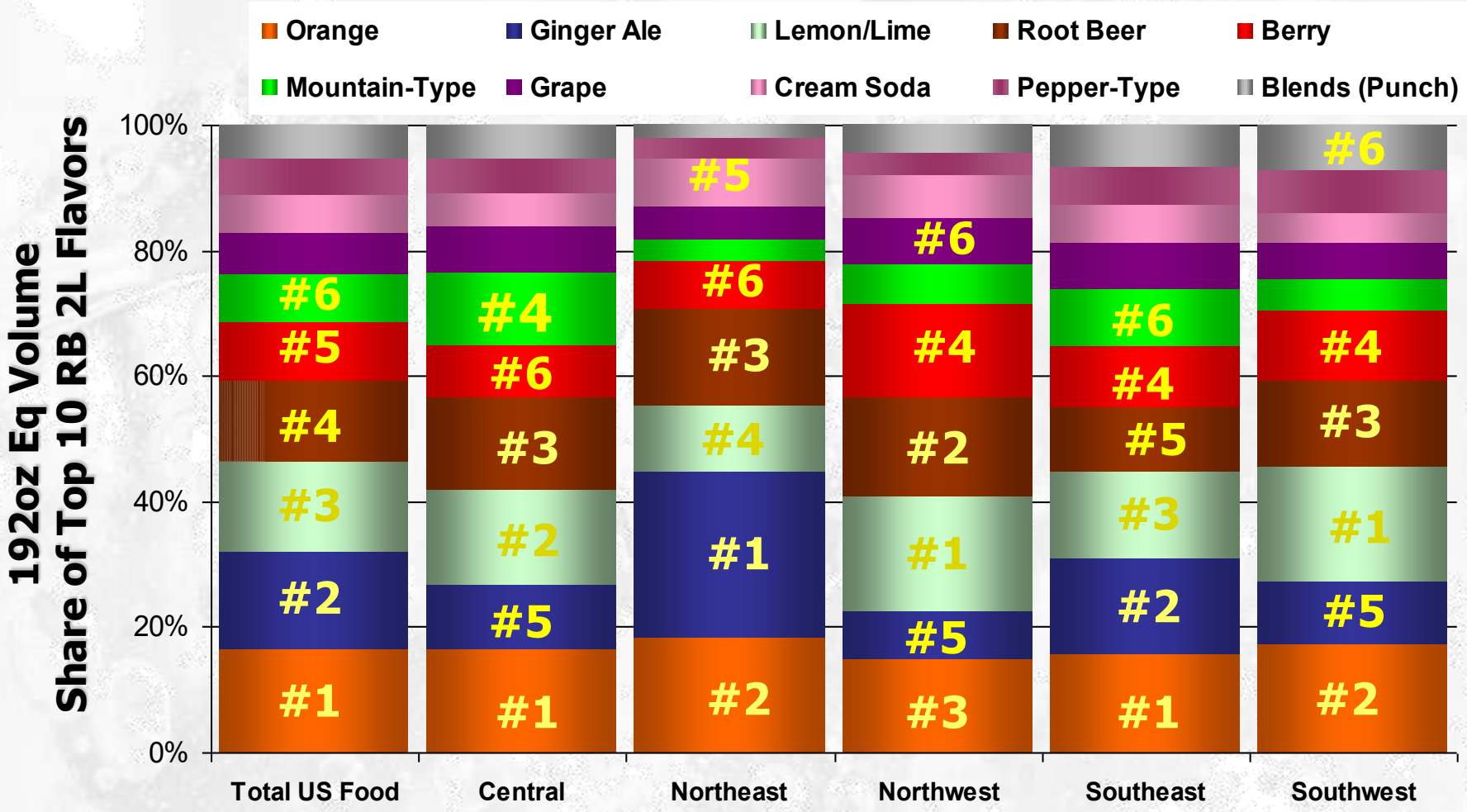
# Top 10 RB 12PK Can CSD Flavors by Region




***Nationally, the top 5 Non- Cola Flavors for RB 12PK CSDs are Orange, Root Beer, Pepper-Type, Grape and Lemon/Lime***

Source: ACNielsen;
52 Weeks Ending 7/10/04

# Top 10 RB 2 LITER CSD Flavors by Region




*Nationally, the top 5 Non- Cola Flavors for RB 2 Liter CSDs are Orange, **Ginger Ale**, Lemon/Lime, **Root Beer** and Berry (Strawberry & Black Cherry)*

Source: ACNielsen;
52 Weeks Ending 7/10/04

# Dollar Store Opportunity: Becoming the Preferred Destination

Drive Additional $

Drive Additional Sales By:

- Expanding the variety of "everyday" items (consumables)
- Encouraging "stocking up" to pre-empt sales from going elsewhere
- Dedicating impulse-driven merchandising (racks, visi-coolers)
  - Introducing CSD and Salty Snack Cross Promotions
  - Re-align salty snack section to complement "Beverage Zone"
- Cold Merchandising Opportunities
  - Vending / CCM

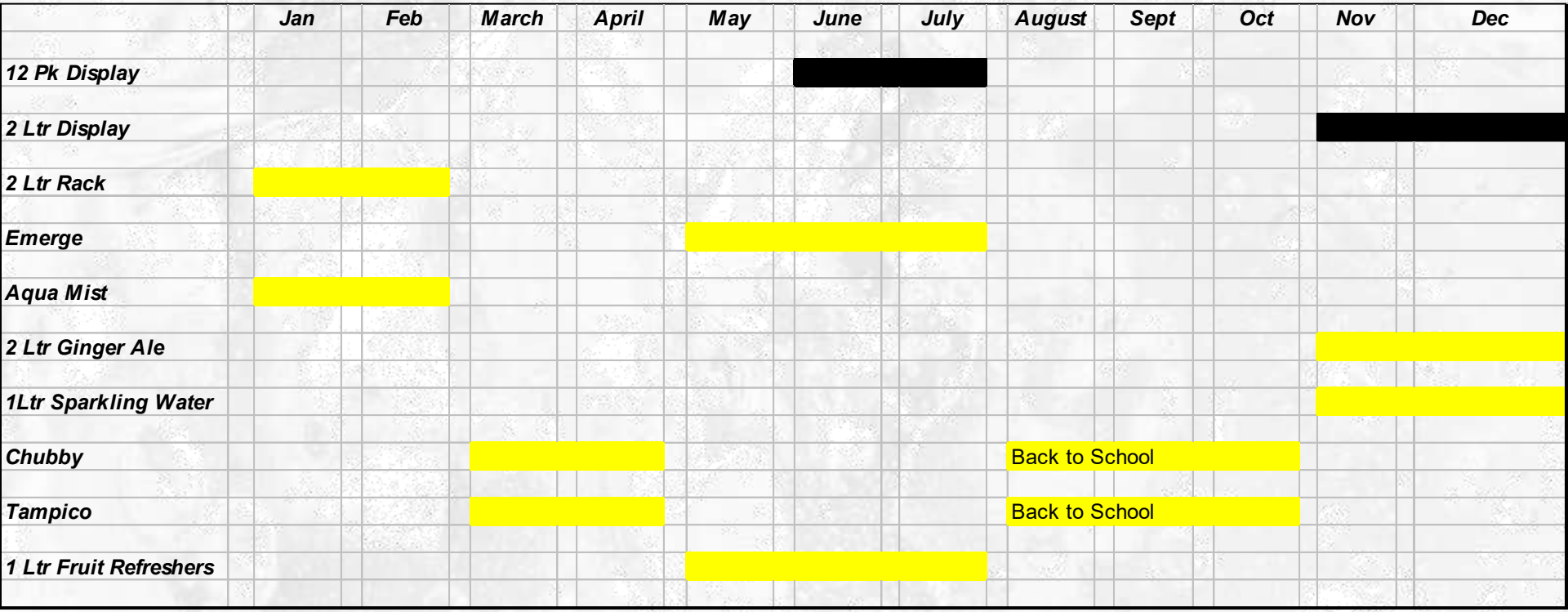


# Other Merchandising Options






# Recommended Display and Rack Schedule



# Long Term Strategic Partnership

- Role of Category
- 5 year Volume and Margin goals
  - CSD / NCB
- Pricing
- Supply Chain